



ECO401 Three Final Term Papers Solved MCQs &

Short Question Answer BY

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Question No: 1 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

- ▶ The economy's production possibilities curve will shift outward.
- ▶ The economy's production possibilities curve will become steeper.
- ▶ The economy will move downward along its production possibilities curve.
- ▶ The economy will move from a point inside to a point closer to its production possibilities curve.

Question No: 2 (Marks: 1) - Please choose one

If both supply and demand increase simultaneously, the equilibrium:

- ▶ Price must rise and the equilibrium quantity must fall.
- ▶ Price must rise and the equilibrium quantity may either rise or fall.
- ▶ Quantity must rise and the equilibrium price may either rise or fall.
- ▶ Price must fall and the equilibrium quantity may either rise or fall.



A simultaneous increase in demand and increase in supply unquestionably generates an increase in the quantity exchanged. However, the change in the price is indeterminant. It might rise or fall depending on the magnitude of the demand and supply changes.

Question No: 3 (Marks: 1) - Please choose one

A normal good can be defined as one which consumers purchase more of as:

- ▶ Prices fall.
- ▶ Prices rise.
- ▶ Incomes fall.
- ▶ Incomes increase.

Question No: 4 (Marks: 1) - Please choose one

Ali initially leased one-room space and started a small day care centre with only 4 children and one staff member. But he found that the cost per child is very high. He wants to expand the centre. Which of the following will happen when Ali expand the centre?

- ▶ Economies of scale.
- ▶ Diseconomies of scale.
- ▶ Decreasing returns to the labor inputs.
- ▶ Increasing returns to the labor inputs.

The increase in efficiency of production as the number of goods being produced increases. Typically, a company that achieves economies of scale lowers the average cost per unit through increased production since fixed costs are shared over an increased number of

Question No: 5 (Marks: 1) - Please choose one

Incremental cost is the same concept as:

- ▶ Average cost.
- ▶ Marginal cost.
- ▶ Fixed cost.
- ▶ Variable cost.

The cost associated with one additional unit of production, also called marginal cost.

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Question No: 6 (Marks: 1) - Please choose one

Graphically, marginal revenue is defined as:

- ▶ The slope of a line from the origin to a point on the total revenue curve.
- ▶ The slope of a line from the origin to the end of the total revenue curve.
- ▶ The slope of the total revenue curve at a given point.
- ▶ The vertical intercept of a line tangent to the total revenue curve at a given point.

Question No: 7 (Marks: 1) - Please choose one

The good produced by a monopoly:

- ▶ Has perfect substitutes.
- ▶ Has no substitutes at all.
- ▶ Has no close substitutes.
- ▶ Can be easily duplicated.

A monopoly is a price maker as it holds a large amount of power over the price it charges and it does not have perfect substitutes.

Question No: 8 (Marks: 1) - Please choose one

The maximum price that a consumer is willing to pay for a good is called:

- ▶ The reservation price.
- ▶ The market price.
- ▶ The first-degree price.
- ▶ The block price.

Question No: 9 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

- ▶ Purely competitive.
- ▶ A monopoly.
- ▶ Monopolistically competitive.

- 
- ▶ Oligopolistic.

Question No: 10 (Marks: 1) - Please choose one

Monopolistically competitive firms have monopoly power because they:

- ▶ Are great in number.
- ▶ Have freedom of entry.
- ▶ Are free to advertise.
- ▶ Face downward sloping demand curves.

Question No: 11 (Marks: 1) - Please choose one

The market structure in which there is interdependence among firms is:

- ▶ Monopolistic competition.
- ▶ Oligopoly.
- ▶ Perfect competition.
- ▶ Monopoly.

Question No: 12 (Marks: 1) - Please choose one

When the marginal revenue product of labor is greater than the marginal input cost of labor then the profit maximizing firm will:

- ▶ Hire more labor.
- ▶ Hire less labor.

- ▶ Maintain the same employment.
- ▶ Decrease output.

Question No: 13 (Marks: 1) - Please choose one

Which of the following would cause the short run aggregate supply curve to shift to the left but have no effect over the long run aggregate supply curve?

- ▶ The amount of factors of production (such as labor and capital) increases.
- ▶ The amount of factors of production (such as labor and capital) decreases.
- ▶ Prices of inputs (such as wages or oil prices) increase.
- ▶ Prices of inputs (such as wages or oil prices) decrease.

Question No: 14 (Marks: 1) - Please choose one

Which of the following is NOT a stock variable?

- ▶ Government debt.
- ▶ Capital.
- ▶ The amount of money held by the public.
- ▶ Inventory investment.

Inventory investment is a quantity measured per unit time, so it is a flow variable



Question No: 15 (Marks: 1) - Please choose one

The circular flow principle guarantees that in equilibrium:

- ▶ The level of investment spending will be equal to the level of private savings.
- ▶ The level of exports will be equal to the level of imports.
- ▶ the level of aggregate demand will be equal to real Gross Domestic Product.
- ▶ The level of government spending will be equal to tax revenue.

Question No: 16 (Marks: 1) - Please choose one

Unemployment benefits may increase the unemployment rate because:

- ▶ Unemployment benefits reduce the cost of job search.
- ▶ Unemployment benefits encourage people to quit their jobs.
- ▶ Unemployment benefits reduce the benefits of additional job searching.
- ▶ Unemployment benefits enable people to quit searching for work.

Question No: 17 (Marks: 1) - Please choose one

The labour force is made up of:

- ▶ The number of people employed minus the number of people unemployed.
- ▶ The number of people employed plus the number of people unemployed.
- ▶ Just the number of people employed.

- 
- ▶ The whole population.

Question No: 18 (Marks: 1) - Please choose one

The unemployment rate is equal to:

- ▶ Number of employed / labour force x 100.
- ▶ Number of unemployed / labour force.
- ▶ (Number of unemployed / labour force) x 100.
- ▶ None of the given options.

Question No: 19 (Marks: 1) - Please choose one

M1 component of money supply consists of:

- ▶ Paper currency and coins.
- ▶ Paper currency, coins and check writing deposits.
- ▶ Paper currency, coins, check writing deposits and savings deposits.
- ▶ Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

Question No: 20 (Marks: 1) - Please choose one

Real Gross National Product (GNP) is best defined as:

- ▶ The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.
- ▶ The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.
- ▶ The current pound value of all new and used goods produced and sold in the economy during a particular time period.
- ▶ The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period.

Question No: 21 (Marks: 1) - Please choose one

To obtain the Net Domestic Product (NDP), start with Gross Domestic Product and subtract:

- ▶ Depreciation.
- ▶ Depreciation and indirect business taxes.
- ▶ Depreciation, indirect business taxes and corporate profits.
- ▶ Depreciation, indirect business taxes, corporate profits and social insurance contributions.



Question No: 22 (Marks: 1) - Please choose one

Fixed exchange rates may be preferred to floating exchange rates because with fixed exchange rates:

- ▶ **There is greater stability of the exchange rate which encourages trade and investment.**
- ▶ There is less likely to be a balance of payment deficit.
- ▶ There is less need for a country to hold large reserves of foreign currency.
- ▶ Interest rates can be used to meet domestic policy objectives such as keeping growth stable.

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Question No: 23 (Marks: 1) - Please choose one

If the simple Keynesian expenditure multiplier is 4, the Marginal Propensity to Consume (MPC) is:

- ▶ **0.20.**
- ▶ 0.25.
- ▶ 0.50.



► 0.75.

Question No: 24 (Marks: 1) - Please choose one

Usually the shape of production possibilities curve is:

► Concave.

► Convex.

► Linear.

► Positive.

Question No: 25 (Marks: 1) - Please choose one

All of the following conditions lead to the successful operation of a cartel EXCEPT:

► Market demand for the good is relatively inelastic.

► The cartel supplies all of the world's output of the good.

► Cartel members have substantial cost advantages over non-member producers.

► The supply of non-cartel members is very price elastic.



Question No: 26 (Marks: 1) - Please choose one

“Decreases in aggregate demand decrease real output but leave the price level largely unaffected”. This is the point of view of which of the following schools of thought?

- ▶ Monetarist school of thought.
- ▶ New Classical school of thought.
- ▶ Real business cycle school of thought.
- ▶ Keynesian school of thought.

Question No: 27 (Marks: 1) - Please choose one

Why calculations of Gross Domestic Product (GDP) count only final goods and services?

- ▶ Because it is difficult to measure the prices of intermediate goods produced.
- ▶ Because these are the only goods and services that are purchased in an economy.
- ▶ Because counting all goods and services would lead to double-counting of many activities.
- ▶ Because one cannot calculate the quantities of intermediate goods produced.

Question No: 28 (Marks: 1) - Please choose one

Suppose that your income increases from \$80,000 to \$100,000 and your consumption increases from \$80,000 to \$95,000. Your Marginal Propensity to Consume (MPC) is:

- ▶ 0.20.
- ▶ 0.45.
- ▶ 0.75.
- ▶ 0.80.

MPC = (change in consumption) divided by (change in income)

$$15000/20000=0.75$$

Question No: 29 (Marks: 1) - Please choose one

Which of the following event will lead towards cost-push inflation and therefore stagflation?

- ▶ An increase in taxes on individuals.
- ▶ A decrease in real interest rates.
- ▶ A union settlement that increases wage levels.
- ▶ An increase in government purchases.

Persistently rising general price levels brought about by rising input costs. In general, there are three factors that could contribute to cost-push inflation: rising wages, increases in corporate



taxes, and imported inflation (when imported raw or partly-finished goods become more expensive, often as a result of currency depreciation). For inflation to be cost-push in nature, increases in input prices must affect a large proportion of the country's producers, so as to be able to push up the general price level.

Stagflation occurs when the economy isn't growing but prices are, which is not a good situation for a country to be in. This happened to a great extent during the 1970s, when world oil prices rose dramatically, fueling sharp inflation in developed countries. For these countries, including the U.S., stagnation increased the inflationary effects.

Question No: 30 (Marks: 1) - Please choose one

Suppose a country has flexible exchange rate and has more rapid inflation rate than other countries. What will happen to its currency in this situation?

- ▶ Its currency will appreciate.
- ▶ Its currency will depreciate.
- ▶ There will be no effect on its currency.
- ▶ All of the given options can be possible.

Question No: 31 (Marks: 1) - Please choose one

Suppose in an economy, a war destroys a large portion of a country's capital stock but the saving rate is unchanged. In this situation, the exogenous model predicts that output will grow and the new steady state will approach towards:

- ▶ A higher output level than before.
- ▶ The same output level as before.
- ▶ A lower output level than before.

- 
- ▶ The Golden Rule output level.

Question No: 32 (Marks: 1) - Please choose one

Which of the following statements best describes the difference between endogenous growth theory and the Solow growth theory?

- ▶ Endogenous growth theory is a monetary theory whereas the Solow theory is a real theory.
- ▶ Endogenous growth theory assumes diminishing returns to capital and the Solow theory assumes constant returns.
- ▶ In endogenous growth theory, economies with the same technology and saving rate need not converge to the same steady state as in the Solow model.
- ▶ All of the given options are correct.

Question No: 33 (Marks: 1) - Please choose one

Commercial banks in Pakistan are supervised by:

- ▶ State bank of Pakistan.
- ▶ National bank of Pakistan.
- ▶ Finance minister of Pakistan.
- ▶ World bank.

Question No: 34 (Marks: 1) - Please choose one

What is the effect of double counting in national income calculations?

- ▶ Underestimation of national product.
- ▶ Overestimation of national product.
- ▶ Distortions in national product.
- ▶ Misleading conclusions about national product.

Question No: 35 (Marks: 1) - Please choose one

Which of the following best defines “subsidies”?

- ▶ Payment by Government for purchase of goods and services.
- ▶ Payment by business enterprises to factors of production.
- ▶ Payment by companies to share holders.
- ▶ Payment by Government to business enterprises without buying any goods and services.

Question No: 36 (Marks: 1) - Please choose one

The demand curve for labour can be derived from the intersection of:

- ▶ Horizontal wage rate lines and the marginal revenue product of labour.
- ▶ Vertical wage rate lines and the marginal revenue product of labour.
- ▶ Vertical wage rate lines and the marginal revenue product of capital.

- 
- ▶ Horizontal wage rate lines and the marginal revenue product of capital.

Question No: 37 (Marks: 1) - Please choose one

A movement along the aggregate demand curve is called a:

- ▶ Change in aggregate demand.
- ▶ Change in the aggregate quantity of goods and services demanded.
- ▶ Determinant of aggregate demand.
- ▶ Revealed expenditure on aggregate demand.

A higher price level is related to fewer aggregate expenditures and a lower price level is related to greater aggregate expenditures. Moreover, changes in the price level are the direct cause of changes in aggregate expenditures, which is reflected by a movement along the aggregate demand curve.

Question No: 38 (Marks: 1) - Please choose one

In the long run, the price level is determined by:

- ▶ Aggregate demand.
- ▶ Aggregate supply.
- ▶ The government.
- ▶ Money supply.

Question No: 39 (Marks: 1) - Please choose one

The simple Keynesian aggregate supply curve is:

- ▶ Upward sloping as real GDP increases.
- ▶ Horizontal at GDP levels below full employment.
- ▶ Based on the concept that all unemployment is voluntary.
- ▶ Downward sloping as real GDP increases.

Question No: 40 (Marks: 1) - Please choose one

In the equation of exchange, if velocity is stable in the long run then:

- ▶ $\% \Delta V = 0$.
- ▶ $\% \Delta V = 1$.
- ▶ $\% \Delta V$ is a positive constant value > 0 .
- ▶ $\% \Delta V = \text{infinity}$.

Question No: 41 (Marks: 1) - Please choose one

Which of the following is TRUE for the equation $MV = PQ$?

- ▶ M is the money supply.
- ▶ V is the velocity.



► Q is the real output level.

► All of the given options.

Question No: 42 (Marks: 1) - Please choose one

The increase in the price of one country's currency in terms of other currencies due to the market forces of demand and supply is known as:

► Revaluation.

► Devaluation.

► Appreciation.

► Depreciation.

Question No: 43 (Marks: 1) - Please choose one

The decrease in the price of one country's currency in terms of other currencies due to the market forces of demand and supply is known as:

► Revaluation.

► Devaluation.

► Appreciation.

► Depreciation.

Question No: 44 (Marks: 1) - Please choose one

As a definition of economic growth, an increase in real capita income is preferable to an increase in simply real GNP, because:



▶ Total GNP measures overall progress while per capita GNP measures improvement in productivity.

▶ Total GNP measures goods and services produced while per capita GNP shows improvement in efficiency.

▶ Total GNP figures estimate the value of a country's total output while per capita GNP accounts for population growth and shows the availability per person of goods and services.

▶ All of the given options.

Question No: 45 (Marks: 1) - Please choose one

Suppose that a country is in a steady state condition. It implements policies to increase the saving rate of its economy. What will be TRUE at the new steady state level?

▶ Output per worker will grow more rapidly than before.

▶ The level of output per worker will be higher than before.

▶ The amount of capital per worker will be the same as before.

▶ All of the given options.

Question No: 46 (Marks: 1) - Please choose one

The government has a balanced budget if:

▶ Its total revenues are equal to its total expenditures.

▶ Its total revenues are less than its total expenditures.

▶ Its total revenues are greater than its total expenditures.

▶ The money supply is less than total expenditures.



Question No: 47 (Marks: 1) - Please choose one

Tax on wages, rent, interest, and profit, is known as:

- ▶ Direct tax.
- ▶ Indirect tax.
- ▶ Progressive tax.
- ▶ Regressive tax.

Question No: 48 (Marks: 1) - Please choose one

A tax imposed by a country on an imported good or service is called a:

- ▶ Quota.
- ▶ Tariff.
- ▶ Non-tariff barrier.
- ▶ Trade embargo.

Question No: 49 (Marks: 1) - Please choose one

Which of the following is an example of a tariff?

- ▶ A limit on the total number of Honda cars that can be imported from Japan.



▶ A regulation specifying that each imported Honda car must meet certain emission exhaust guidelines.

▶ A tax of \$500 on each Honda car imported from Japan.

▶ A tax of 10% of the value of each Honda car purchased in Japan.

Question No: 50 (Marks: 1) - Please choose one

Which of the following is (are) the characteristic(s) of high income countries as compared to low income countries?

I. Lower rates of population growth.

II. Greater income inequality.

III. A large proportion of the labor force in agriculture.

IV. Higher rates of investment.

▶ I only.

▶ I and II.

▶ II and IV.

▶ I and IV.

Question No: 51 (Marks: 1) - Please choose one

The price elasticity of supply for most products differs due to capacity constraints. Which of the following is TRUE in this context?

▶ It is same in the long run and the short run.

▶ It is greater in the long run than in the short run.

- 
- ▶ It is greater in the short run than in the long run.
 - ▶ It is too uncertain to be estimated.

Question No: 52 (Marks: 1) - Please choose one

What will be the impact of a ban on foreign firms from selling in the domestic market?

- ▶ It will cause domestic producers competing with the imports to face huge losses.
- ▶ It will cause the supply curve to shift to the left.
- ▶ It will cause the supply curve to shift to the right.
- ▶ It will have no effect on the domestic market.

Question No: 53 (Marks: 1) - Please choose one

What is meant by the term utility?

- ▶ Useless.
- ▶ Require.
- ▶ Necessary.
- ▶ Satisfaction.

Question No: 54 (Marks: 1) - Please choose one

In which of the following conditions, a welfare loss occurs in monopoly?

- ▶ Where the price is greater than the marginal cost.

- 
- ▶ Where the price is greater than the marginal benefit.
 - ▶ Where the price is greater than the average revenue.
 - ▶ **Where the price is greater than the marginal revenue.**

In a free-market economy, the allocation of resources is determined by:

- ▶ Votes taken by consumers.
- ▶ A central planning authority.
- ▶ Consumer preferences.
- ▶ The level of profits of firms.

Question No: 2 (Marks: 1) - Please choose one

The concave shape of the production possibilities curve for two goods X and Y illustrates:

- ▶ Increasing opportunity cost for both goods.
- ▶ Increasing opportunity cost for good X but not for good Y.
- ▶ Increasing opportunity cost for good Y but not for good X.
- ▶ Constant opportunity cost for both goods.

Since the shape of a PPF is commonly drawn as concave downward to represent increasing opportunity cost with increased output of a good

Question No: 3 (Marks: 1) - Please choose one

If the quantity demanded of a product is greater than the quantity supplied of a product, then:

- ▶ There is a shortage of the product.



► **There is a surplus of the product.**

► The product is a normal good.

► The product is an inferior good.

Question No: 4 (Marks: 1) - Please choose one

The supply curve is upward-sloping because:

► As the price increases, consumers demand less.

► **As the price increases, suppliers can earn higher levels of profit or justify higher marginal costs to produce more.**

► None of the given options.

► As the price increases, so do costs.

Question No: 5 (Marks: 1) - Please choose one

When an industry's raw material costs increase, other things remaining the same:

► **The supply curve shifts to the right.**

► Output increases regardless of the market price and the supply curve shifts upward.

► Output decreases and the market price also decrease.

► **The supply curve shifts to the left.**

Question No: 6 (Marks: 1) - Please choose one

When the price of petrol rises by 12%, the quantity of petrol purchased falls by 8%. This shows that the demand for petrol is:

= $8\%/12\% = 0.67$ where $e > 1$ elastic, $e < 1$ inelastic

- ▶ Perfectly elastic.
- ▶ Unit elastic.
- ▶ Elastic.
- ▶ Inelastic.

Question No: 7 (Marks: 1) - Please choose one

Suppose price rises from \$15 to \$17 and quantity demanded decreases by 20%. We can conclude:

- ▶ Demand is unitary elastic.
- ▶ Demand is elastic.
- ▶ The elasticity of demand is 2.
- ▶ Total revenue will decrease.

Question No: 8 (Marks: 1) - Please choose one

"Utility" is most closely related to the term:

- ▶ Useless.
- ▶ Require.
- ▶ Necessary.
- ▶ Satisfaction.

Question No: 9 (Marks: 1) - Please choose one

When the marginal utility of a good is zero, this implies that:

- ▶ The consumer would not spend any additional income to buy more of that good.
- ▶ Consumption of additional units would have positive marginal utility.
- ▶ Total utility is minimized.
- ▶ Total utility is also zero.

Question No: 10 (Marks: 1) - Please choose one

When the substitution effect of a lowered price is counteracted by the income effect, the good in question is:

- ▶ An inferior good.
- ▶ A substitute good.
- ▶ An independent good.
- ▶ A normal good.

Question No: 11 (Marks: 1) - Please choose one

Diminishing marginal returns implies:

- ▶ Decreasing marginal costs.
- ▶ Increasing marginal costs.
- ▶ Decreasing average variable costs.
- ▶ Decreasing average fixed costs.

Question No: 12 (Marks: 1) - Please choose one



A graph showing all the combinations of capital and labour available for a given total cost is the:

- ▶ Budget constraint.
- ▶ Expenditure set.
- ▶ Isoquant.
- ▶ Isocost.

Question No: 13 (Marks: 1) - Please choose one

When an isocost line is just tangent to an isoquant, we know that:

- ▶ Output is being produced at minimum cost.
- ▶ Output is not being produced at minimum cost.
- ▶ The two products are being produced at the medium input cost to the firm.
- ▶ The two products are being produced at the highest input cost to the firm.

Question No: 14 (Marks: 1) - Please choose one

In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive but can be resold and are therefore an example of: mid question

- ▶ A fixed cost.
- ▶ A variable cost.
- ▶ An implicit cost.
- ▶ An opportunity cost.



Question No: 15 (Marks: 1) - Please choose one

The good produced by a monopoly:

- ▶ Has perfect substitutes.
- ▶ Has no substitutes at all.
- ▶ **Has no close substitutes.**
- ▶ Can be easily duplicated.

Question No: 16 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

- ▶ Positive issues.
- ▶ **Normative issues.**
- ▶ Micro issues.
- ▶ Macro issues.

Question No: 17 (Marks: 1) - Please choose one

The oligopoly model which predicts that oligopoly prices will tend to be very rigid is the:

- ▶ Cournot model.
- ▶ Cobweb model.
- ▶ Dominant firm model.
- ▶ **Kinked demand model.**

Question No: 18 (Marks: 1) - Please choose one

The kinked demand curve model is based on which of the following assumptions?

- ▶ Each firm considers its rival's output to be fixed.
- ▶ Each firm considers its rival's price to be fixed.
- ▶ Each firm believes rival will match all price changes.
- ▶ None of the given options.

Question No: 19 (Marks: 1) - Please choose one

Which of the following is NOT conducive to the successful operation of a cartel?

- ▶ Market demand for the good is relatively inelastic.
- ▶ The cartel supplies all of the world's output of the good.
- ▶ Cartel members have substantial cost advantages over non-member producers.
- ▶ The supply of non-cartel members is very price elastic.

Question No: 20 (Marks: 1) - Please choose one

Cartels are:

▶ **Organizations of independent firms, producing similar products, that work together to raise prices and restrict output.**

▶ Organizations of interdependent firms, producing similar products, that work together to raise prices and restrict output.

▶ Organizations of independent firms, producing different products, that work together to raise prices and restrict output.

- 
- ▶ Considered as part of monopolistic competition.

Question No: 21 (Marks: 1) - Please choose one

The marginal revenue product is:

- ▶ Upward sloping due to the law of demand.
- ▶ Upward sloping due to the law of marginal utility.
- ▶ **Downward sloping due to the law of diminishing returns.**
- ▶ Downward sloping due to the law of supply.

Question No: 22 (Marks: 1) - Please choose one

A reason why some economists basically ignore the short run is because they believe that the economy: <http://vustudents.ning.com>

- ▶ **Has self-correcting mechanisms.**
- ▶ Can only be graphed with a horizontal curve.
- ▶ Never needs correction.
- ▶ None of the given options.

Question No: 23 (Marks: 1) - Please choose one

The long run aggregate supply curve will shift to the right if:

- ▶ The price level increases.
- ▶ **Factors of production (such as labor and capital) increase.**
- ▶ Expenditures (such as consumption and net exports) increase.



► The prices of inputs used to produce goods and services (such as wages and the price of oil) decrease.

Question No: 24 (Marks: 1) - Please choose one

A primary implication of Keynesian economics is:

- The best government is the least government.
- **Flexible wages and prices ensure full employment.**
- Monetary policy is far superior to fiscal policy.
- **Business-cycle instability is best corrected through government policies.**

Question No: 25 (Marks: 1) - Please choose one

The economic analysis most closely related to Say's Law is:

- **Short-run aggregate market.**
- Production possibilities.
- Imperfect competition.
- Circular flow.

Question No: 26 (Marks: 1) - Please choose one

Which of the following is NOT a reason of downward slope of aggregate demand curve?

- ▶ The exchange-rate effect.
- ▶ The wealth effect.
- ▶ The classical dichotomy / monetary neutrality effects.
- ▶ The interest-rate effect.

Question No: 27 (Marks: 1) - Please choose one

The upward-sloping aggregate supply curve indicates that:

- ▶ As firms increase their level of output, the cost of producing an extra unit increases.
- ▶ An increase in aggregate demand causes little, if any increase in real output the economy is operating in the long run.
- ▶ Any increase in aggregate demand causes the output of producers to fall because the general price level rises.
- ▶ None of the given options.

Question No: 28 (Marks: 1) - Please choose one

An important difference between the Classical and Keynesian approaches to achieve a macroeconomic equilibrium is that:

- ▶ Keynesian economists actively promote the use of fiscal policy while the classical economists do not.
- ▶ Keynesian economists actively promote the use of monetary policy to improve aggregate economic performance while the classical economists do not.



► Classical economists believe that monetary policy will certainly affect the level of output while the Keynesians believe that money growth affects only prices.

► Classical economists believe that fiscal policy is an effective tool for achieving economic stability while the Keynesians do not.

Classical economists believe intervention can be de-stabilising.

Question No: 29 (Marks: 1) - Please choose one

According to classical economists, the:

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- Aggregate demand curve is downward sloping and the aggregate supply curve is vertical.
- Aggregate demand curve is downward sloping and the aggregate supply curve is upward sloping.
- Aggregate demand curve is vertical and the aggregate supply curve is upward sloping.
- Aggregate demand curve is vertical and the aggregate supply curve is horizontal.

Question No: 30 (Marks: 1) - Please choose one

How many methods are there to measure Gross Domestic Product?

- Three.
- Four.
- Five.
- Six.



There are three ways of measuring GDP

income approach, expenditure approach, production approach

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a flow variable?

- ▶ The value of the house in which you live.
- ▶ The balance in your savings account.
- ▶ **Your monthly consumption on food items.**
- ▶ The number of carrots in your refrigerator at the beginning of the month.

Question No: 33 (Marks: 1) - Please choose one

Question No: 34 (Marks: 1) - Please choose one

Which of the following plays the key balancing role in making sure that the economy reaches and stays at equilibrium at the potential output level?

- ▶ Real exchange rate.
- ▶ The production function.
- ▶ Real price level.
- ▶ **Real interest rate.**

Question No: 35 (Marks: 1) - Please choose one

If injections are less than withdrawals at the full-employment level of income then there arises:

- ▶ **A deflationary gap.**

- 
- ▶ Hysteresis.
 - ▶ Hyperinflation.
 - ▶ An inflationary gap.

Question No: 36 (Marks: 1) - Please choose one

The labour force is made up of:

- ▶ The number of people employed minus the number of people unemployed.
- ▶ The number of people employed plus the number of people unemployed.
- ▶ Just the number of people employed.
- ▶ The whole population.

Question No: 37 (Marks: 1) - Please choose one

Deflation is:

- ▶ An increase in the overall level of economic activity.
- ▶ An increase in the overall price level.
- ▶ A decrease in the overall level of economic activity.
- ▶ A decrease in the overall price level.

Question No: 38 (Marks: 1) - Please choose one

Which of the following will result if there is a decrease in aggregate demand?

- ▶ Expansion; inflation.
- ▶ Recession; deflation.
- ▶ Expansion; deflation.
- ▶ Recession; inflation.

Question No: 39 (Marks: 1) - Please choose one

A decrease in the natural rate of unemployment will:

- ▶ Shift the Phillips curve to the left.
- ▶ Result in a decrease in the inflation rate along the Phillips curve.
- ▶ Shift the Phillips curve to the right.
- ▶ Result in an increase in the inflation rate along the Phillips curve.

Question No: 40 (Marks: 1) - Please choose one

The Phillips curve will shift to the right:

- ▶ If there is a decrease in the expected inflation rate.
- ▶ If there is an increase in the expected inflation rate.
- ▶ If there is a decrease in the natural rate of unemployment.
- ▶ If there is a favorable supply shock.

Question No: 42 (Marks: 1) - Please choose one

The nominal exchange rate is defined as the:

- 
- ▶ Market on which currencies of various nations are traded for one another.
 - ▶ Price of one unit of foreign good in terms of domestic good.
 - ▶ **Price of one unit of foreign currency in terms of domestic currency.**
 - ▶ All of the given options.

Question No: 43 (Marks: 1) - Please choose one

Current account deficit is equal to:

- ▶ Private sector resource deficit.
- ▶ Government budget deficit.
- ▶ **Private sector resource deficit + Government budget deficit.**
- ▶ None of the given options.

Question No: 44 (Marks: 1) - Please choose one

**In the exogenous growth model, if investment exceeds depreciation, the capital stock will --
----- and output will----- until the steady state is attained.**

- ▶ **Increase; increase.**
- ▶ Increase; decrease.
- ▶ Decrease; decrease.
- ▶ Decrease; increase.

Question No: 45 (Marks: 1) - Please choose one

Endogenous growth theory differs in what essential aspect from the Solow theory of economic growth?

- 
- ▶ Endogenous growth theory is a monetary theory whereas the Solow theory is a real theory.
 - ▶ Endogenous growth theory assumes diminishing returns to capital and the Solow theory assumes constant returns.
 - ▶ In endogenous growth theory, economies with the same technology and saving rate need not converge to the same steady state as in the Solow model.
 - ▶ All of the given options are correct.

Question No: 46 (Marks: 1) - Please choose one

A currency appreciation should:

- ▶ Reduce net exports and therefore increase aggregate demand.
- ▶ Raise net exports and therefore decrease aggregate demand.
- ▶ Reduce net exports and therefore decrease aggregate demand.
- ▶ Raise net exports and therefore increase aggregate demand.

Question No: 47 (Marks: 1) - Please choose one

M1 component of money supply consists of:

- ▶ Paper currency and coins.
- ▶ Paper currency, coins and check writing deposits.
- ▶ Paper currency, coins, check writing deposits and savings deposits.
- ▶ Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

Question No: 48 (Marks: 1) - Please choose one

Commercial banks in Pakistan are supervised by:

- ▶ State bank.
- ▶ National bank.
- ▶ Finance minister.
- ▶ World bank.

Question No: 49 (Marks: 1) - Please choose one

What would result from a depreciation of the pound on the foreign exchange market?

- ▶ An increase in the price of imported computers.
- ▶ A fall in the purchasing power of US tourists in London.
- ▶ A fall in the price of imported computers.
- ▶ An increase in the purchasing power of UK tourists overseas.

Question No: 50 (Marks: 1) - Please choose one

An example of hysteresis having a negative effect on a country's economy would be:

- ▶ Hyperinflation caused by excessive demand.
- ▶ Nervous investors selling all their shares, causing the stockmarket to crash.
- ▶ Unemployed workers not taking available jobs.
- ▶ Women being kept out of jobs traditionally held by men.

Question No: 2 (Marks: 1) - Please choose one

A good for which income and quantity demanded are inversely related is known as:

- ▶ Inferior good.
- ▶ Complementary good.
- ▶ Normal good.
- ▶ None of the given options.

Question No: 3 (Marks: 1) - Please choose one

An increase in supply is shown by:

- ▶ Shifting the supply curve to the left.
- ▶ Shifting the supply curve to the right.
- ▶ Upward movement along the supply curve.
- ▶ Downward movement along the supply curve.

Question No: 4 (Marks: 1) - Please choose one

Price floor results in:

- ▶ All of the given options.
- ▶ Excess supply.
- ▶ Equilibrium.
- ▶ Excess demand.

Question No: 5 (Marks: 1) - Please choose one

The price elasticity of demand measures the responsiveness of quantity demanded to:



▶ Quantity demanded.

▶ Quantity supplied.

▶ Price.

▶ Output.

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Question No: 6 (Marks: 1) - Please choose one

Assume that the total utilities for the fifth and sixth units of a good consumed are 83 and 97, respectively. The marginal utility for the sixth unit is:

▶ -14.

▶ 14.

▶ 83.

▶ 97.

Question No: 7 (Marks: 1) - Please choose one

Indifference curves that are convex to the origin reflect:

▶ An increasing marginal rate of substitution.

▶ A decreasing marginal rate of substitution.

▶ A constant marginal rate of substitution.

▶ A marginal rate of substitution that first decreases, then increases.

Question No: 8 (Marks: 1) - Please choose one

To find the profit maximizing level of output, a firm finds the output level where:

- ▶ Price equals marginal cost.
- ▶ Marginal revenue and average total cost.
- ▶ Price equals marginal revenue.
- ▶ **None of the given options.**

The profit maximizing level of output is found by equating its marginal revenue with its marginal cost, which is the same profit maximizing condition that a perfectly competitive firm uses to determine its equilibrium level of output. Indeed, the condition that marginal revenue equal marginal cost is used to determine the profit maximizing level of output of every firm, regardless of the market structure in which the firm is operating.

Question No: 9 (Marks: 1) - Please choose one

As compared to existing firms, a new firm entering in monopolist market has:

- ▶ **High costs.**
- ▶ Low costs.
- ▶ Equal costs.
- ▶ None of the given options.

Question No: 10 (Marks: 1) - Please choose one

A firm is charging a different price for each unit purchased by a consumer. This is called:

- ▶ First-degree price discrimination.

- 
- ▶ Second-degree price discrimination.
 - ▶ **Third-degree price discrimination.**
 - ▶ None of the given options.

Question No: 11 (Marks: 1) - Please choose one

McDonald's restaurant located near the high school offered a Tuesday special for high school students. If high school students showed their student ID cards, they would be given 50 cents off any special meal. This practice is an example of:

- ▶ Collusion.
- ▶ **Price discrimination.**
- ▶ Two-part tariff.
- ▶ **Bundling.**

Question No: 12 (Marks: 1) - Please choose one

The price elasticity of demand for any good must be less than or equal to zero unless:

- ▶ The good is a necessity.
- ▶ The good is a luxury.
- ▶ **The good is a Giffen good.**
- ▶ None of the given options.

Question No: 14 (Marks: 1) - Please choose one

In monopoly, which of the following is NOT true?

- ▶ Products are differentiated.
- ▶ There is freedom of entry and exit into the industry in the long run.
- ▶ The firm is a price maker.
- ▶ There is one main seller.

Question No: 16 (Marks: 1) - Please choose one <http://vustudents.ning.com>

Under the kinked demand curve model, an increase in marginal cost will lead to:

- ▶ An increase in output level and a decrease in price.
- ▶ A decrease in output level and an increase in price.
- ▶ A decrease in output level and no change in price.
- ▶ Neither a change in output level nor a change in price.

Question No: 17 (Marks: 1) - Please choose one

Which of the following market situation is much like a pure monopoly except that its member firms tend to cheat on agreed upon price and output strategies?

- ▶ Duopoly.
- ▶ Cartel.
- ▶ Market sharing monopoly.
- ▶ Natural monopoly.

Question No: 18 (Marks: 1) - Please choose one



In the complete classical model, a rightward shift of the labor supply curve will:

- ▶ Decrease the price level and increase the nominal wage.
- ▶ Decrease the nominal wage and increase the price level.
- ▶ Decrease both the price level and the nominal wage.
- ▶ **Increase both the price level and the nominal wage.**

Question No: 19 (Marks: 1) - Please choose one

Which of the following events could cause the aggregate demand curve to shift to the right?

- ▶ An increase in the rate of inflation.
- ▶ A decrease in government expenditures.
- ▶ A decrease in investment spending.
- ▶ **A decrease in income tax rates.**

Question No: 20 (Marks: 1) - Please choose one

The Great Depression of 1930s opened the door to the _____ revolution in macroeconomic theory.

- ▶ **Keynesian.**
- ▶ New classical.
- ▶ Old classical.
- ▶ New Keynesian.

Question No: 21 (Marks: 1) - Please choose one

Keynesian economics was the predominant economic theory:

- ▶ Prior to the late 1700s.
- ▶ From the late 1700s to the early 1900s.
- ▶ **From 1930s to 1970s.**
- ▶ Since 1970s.

Question No: 22 (Marks: 1) - Please choose one <http://vustudents.ning.com>

Classical economics was replaced as the dominant theory of macroeconomic analysis by:

- ▶ Monetarism.
- ▶ Rational expectations.
- ▶ **Keynesian economics.**
- ▶ Neoclassical economics.

Question No: 23 (Marks: 1) - Please choose one

According to the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

- ▶ Both prices and output to rise.
- ▶ Prices to fall and output to remain unchanged.
- ▶ Both prices and output to fall.
- ▶ **Prices to rise and output to remain unchanged.**

Question No: 24 (Marks: 1) - Please choose one



Intermediate goods are meant for:

- ▶ Direct use by the consumers.
- ▶ **Further processing.**
- ▶ The term do not exist.
- ▶ None of the given options.

Question No: 25 (Marks: 1) - Please choose one

Final goods are meant for:

- ▶ **Direct use by the consumers.**
- ▶ Further processing.
- ▶ The term do not exist.
- ▶ None of the given options.

Question No: 26 (Marks: 1) - Please choose one

Which of the following is a flow variable?

- ▶ The value of the house in which you live.
- ▶ **The balance in your savings account.**
- ▶ Your monthly consumption on food items.
- ▶ The number of carrots in your refrigerator at the beginning of the month.

Question No: 28 (Marks: 1) - Please choose one

All other things remain the same, Gross Domestic Product (GDP) will rise if:

- ▶ Imports rises.
- ▶ Exports falls.
- ▶ **Durable goods consumption rises.**
- ▶ Military spending falls.

Question No: 29 (Marks: 1) - Please choose one

If disposable income increases from \$5 trillion to \$6 trillion and as a result, consumption expenditure increases from \$7 trillion to \$7.8 trillion, the Marginal Propensity to Consume is:

- ▶ 1.0.
- ▶ **0.8.**
- ▶ $5/7 = 0.71$.
- ▶ $6/7.8 = 0.77$

MPC = (change in consumption) / (change in income)

Question No: 30 (Marks: 1) - Please choose one

The slope of the consumption function (or line) is the:

- ▶ Average propensity to save.
- ▶ Average propensity to consume.
- ▶ Marginal propensity to save.



► **Marginal propensity to consume.**

Question No: 31 (Marks: 1) - Please choose one

Question No: 32 (Marks: 1) - Please choose one

The unemployment rate is equal to:

► Number of employed / labour force x 100.

► **Number of unemployed / labour force.**

► (Number of unemployed / labour force) x 100.

► None of the given options.

Question No: 33 (Marks: 1) - Please choose one

The traditional Phillips Curve shows the:

► **Inverse relationship between the rate of inflation and unemployment rate.**

► Inverse relationship between the nominal and real wage.

► Direct relationship between unemployment and demand-pull inflation.

► Tradeoff between the short run and long run.

Question No: 35 (Marks: 1) - Please choose one

Is Gross Domestic Product (GDP) an accurate measure of a country's well being?

► Yes, it is the best measure of national well being.

► **Yes, provided we use real GDP and not nominal GDP.**

► Uncertain, depending on whether GDP is rising or falling.

- 
- ▶ No, it is not.

Question No: 36 (Marks: 1) - Please choose one

Real Gross Domestic Product (GDP):

- ▶ **Is nominal GDP adjusted for changes in the price level.**
- ▶ Is also called nominal GDP.
- ▶ Measures GDP minus depreciation of capital.
- ▶ Will always change when prices change.

Question No: 37 (Marks: 1) - Please choose one

If a war destroys a large portion of a country's capital stock but the saving rate is unchanged, the exogenous model predicts that output will grow and the new steady state will approach:

- ▶ A higher output level than before.
- ▶ **The same output level as before.**
- ▶ A lower output level than before.
- ▶ The Golden Rule output level.

Question No: 38 (Marks: 1) - Please choose one

A currency appreciation:

- ▶ **Reduces aggregate demand and increases aggregate supply.**
- ▶ Reduces both aggregate demand and aggregate supply.

- 
- ▶ Increases aggregate demand and reduces aggregate supply.
 - ▶ Increases both aggregate demand and aggregate supply.

Question No: 39 (Marks: 1) - Please choose one

M1 component of money supply consists of:

- ▶ Paper currency and coins.
- ▶ **Paper currency, coins and check writing deposits.**
- ▶ Paper currency, coins, check writing deposits and savings deposits.
- ▶ Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

Question No: 40 (Marks: 1) - Please choose one

Personal income: <http://vustudents.ning.com>

- ▶ Is income received by individuals during a given year.
- ▶ Is the income individuals have available for spending during a given year.
- ▶ Equals national income minus indirect taxes.
- ▶ **Is the sum of wages plus interest received by individuals during a given year.**

Question No: 42 (Marks: 1) - Please choose one

Which of the following statements describes the difference between nominal and real Gross Domestic Product (GDP)?

- ▶ Real GDP includes only goods; nominal GDP includes goods and services.



► Real GDP is measured using constant base-year prices; nominal GDP is measured using current prices.

► Real GDP is equal to nominal GDP less the depreciation of the capital stock.

► Real GDP is equal to nominal GDP multiplied by the CPI.

Question No: 43 (Marks: 1) - Please choose one

If we compare Gross Domestic Product (GDP) with Gross National Product (GNP) then:

► $GNP = GDP - \text{Net income from abroad.}$

► **$GNP = GDP + \text{Net income from abroad.}$**

► $GNP = NNP - \text{Net income from abroad.}$

► $GNP = NNP + \text{Net income from abroad.}$

Question No: 44 (Marks: 1) - Please choose one

Gross domestic product (GDP) is the market value of:

► All transactions in an economy during one-year period.

► All goods and services exchanged in an economy during one-year period.

► All final goods and services exchanged in an economy during one-year period.

► **All final goods and services produced in a domestic economy during one-year period.**

Question No: 45 (Marks: 1) - Please choose one

Which of the following shows the Fisher equation of exchange?



▶ $MT = PV$.

▶ $VT = PM$.

▶ **$MV = PQ$.**

▶ $MY = VP$.

Question No: 46 (Marks: 1) - Please choose one

An exchange rate that varies according to the supply and demand for the currency in the foreign exchange market is called:

▶ Overvalued exchange rate.

▶ Undervalued exchange rate.

▶ Fixed exchange rate.

▶ **Flexible exchange rate.**

Question No: 47 (Marks: 1) - Please choose one

In the equation $MV = PQ$, according to the crude quantity theory of money:

▶ M has no effect on the price level.

▶ **V is the number of times each dollar is spent per year.**

▶ Q is the real price level.

▶ P rises as V falls, other things constant.

Question No: 48 (Marks: 1) - Please choose one

In the Keynesian cross model, the 45-degree line has a slope of:



▶ 45.

▶ Infinity.

▶ 1.

▶ 0.

Question No: 49 (Marks: 1) - Please choose one

In Keynesian economics, equilibrium can occur:

▶ Only at full employment level.

▶ Only at levels less than full employment.

▶ Only at levels greater than full employment.

▶ **At any level of aggregate output which is equal to aggregate expenditures.**

Question No: 50 (Marks: 1) - Please choose one

After a decrease in the wage, the substitution effect implies that:

▶ Only the amount demanded of capital decreases.

▶ Only the amount demanded of labor decreases.

▶ **Only the amount demanded of capital increases.**

▶ The amount demanded of all inputs increases.

Question No: 51 (Marks: 5)

Briefly discuss the private cost of advertising. How we can calculate the marginal social cost?

ANSWER: Private Cost Of Advertising: The private cost of advertising is the cost incurred by firm in making the advertisement i.e newspaper adds, tv commercials etc. The firms do not take into account the nuisance faced by people due to these advertisements otherwise the firms would do less advertisement.

Marginal Social Cost: Marginal social cost is not a monetary based cost. It is the cost borne by the society as a whole. It is the cost of consumption of one next unit.

Question No: 52 (Marks: 10)

A. What conclusions are derived from exogenous growth theory?

ANSWER: Exogenous Growth Theory: The major conclusions derived from the exogenous growth are as follows:

- The steady growth rate of real GDP depends on exogenous rates of growth of population (n) and technology (t). There are no policies for government for how to affect the steady growth rate of a country. Higher savings can only have a little effect on income it cannot cause long term growth because savings cause diminishing returns to investment and capital accumulation.
- If one country started with lower income and capital than another country, the poorer country will grow faster to catch up the richer country and then both the countries will grow together.

B. What is meant by convergence theory? Explain the convergence theory in the given graph.

(Marks: 4+6)

Question No: 53 (Marks: 10)

Define fiscal policy. Differentiate between contractionary and expansionary fiscal policy. In which situations, budget deficit and budget surplus exist?

Answer: Fiscal Policy: Fiscal policy is the government's about the

- expenditure in form of purchases, subsidies and interest payments on debt etc.
- revenue in form of taxes etc.

Difference between Contractionary and Expansionary Fiscal Policy:

Contractionary Fiscal Policy	Expansionary Fiscal Policy
In contractionary fiscal policy government decreases its expenditure.	In expansionary fiscal policy government increases its expenditure.

Budget Deficit and Budget Surplus: Budget deficit exists if government expenditure increases the revenue earned. In this case government needs to finance its expenditure through borrowing.

Budget surplus exists when revenue exceeds the government expenditure. In this condition government can easily pay off its debt borrowings.

(Marks: 2+4+4)

Question No: 54 (Marks: 10)

Discuss the basic theories regarding IMF's stabilization program. Are these theories successful? If not, give reasons.

Answer: IMF's Stabilization Theories:

- **Tight Fiscal Policy:** It works through higher revenues and reduced government expenditure.
- **Devaluation:** Switching from imports to home produced goods. It increases competitiveness, exports and increase investors confidence in local currency.
- **Tight Monetary Policy:** Higher interest rates resulting in reduced private sector consumption and investment demand. It reduces inflation and increases savings. High interest rates also results in higher capital inflow.

Theses theories are generally not successful in lower income countries (LICs). Because they caused the problems of:

- **Devaluation:** It raises the price of imports and also increased the inflation while the real wage rate could not increase.
- **Stabilization hurts poor:** decrease in expenditure always badly effects the poor which can then cause political instability.

Average physical product is equal to

Select correct option:

TPPF

TPPF/QF

QF / TPPF

TPPF * QF

Goods produced by oligopolistic industries are typically:

Standardized



Differentiated

Differentiated if industrial goods

Differentiated if consumer goods

Price elasticities are measured in percentage terms because:

Select correct option:

It makes students' lives more complicated.

The resulting measure is unit free.

It gives a more accurate answer.

The answer is always negative that way

A partial explanation for the inverse relationship between price and quantity demanded is that a:

Select correct option:

Lower price shifts the supply curve to the left.

Higher price shifts the demand curve to the left.

Lower price shifts the demand curve to the right.

Higher price reduces the real incomes of buyers.

The firm's demand for labor is:

Select correct option:

The marginal revenue product curve

The marginal input cost curve

The marginal cost curve

Undetermined

Following are the disadvantages of monopoly EXCEPT:

Monopolists earn higher profits.

Monopolists produce high quality goods at higher prices.

Most of the “surplus” (producer + consumer surplus) accrues to monopolists.

Monopolists do not pay sufficient attention to increasing efficiency.

Disadvantages of monopolies:

i. Monopolists produce lower quantities at higher prices compared to perfectly competitive firms.

This is because monopolists do not produce where $P=MC$ (the point of allocative efficiency) nor at $P=AC$ minimum (the point of cost efficiency).

ii. Monopolists earn supernormal profits compared to perfectly competitive firms

iii. Most of the “surplus” (producer + consumer surplus) accrues to monopolists.

iv. Monopolists do not pay sufficient attention to increasing efficiency in their production processes.

Suppose that a farmer grows wheat and sells it to a baker for \$1, the baker makes bread and sells it to a store for \$2, and the store sells it to the customer for \$3. This transaction increases GDP by

Select correct option:

<http://vustudents.ning.com>

- 
- 1
 - 2
 - 3
 - 6

Sum of Value Added, (value added = difference between input and output), $(3-2)+(2-1)+(1-0) = 3$

The marginal rate of substitution is equal to the:

Select correct option:

Magnitude of the slope of the indifference curve

Relative price

Marginal cost of each good

Slope of the budget line

A consultant for Mattel (the producer of Barbie) reports that their long run average cost curve is decreasing. In other words, he is saying that:

► The firm has increasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.

► The firm has decreasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.

► The firm has increasing returns to scale but the law of diminishing marginal productivity may still apply to this firm.

► The firm has decreasing returns to scale but nonetheless the law of diminishing marginal productivity may still apply to this firm.

A demand schedule is best described as:

- ▶ A numerical tabulation of the quantity demanded of a good at different prices, *ceteris paribus*.
- ▶ A graphical representation of the law of demand.
- ▶ A systematic listing of all the variables that might conceivably bring about a change in demand.
- ▶ A symbolic representation of the law of demand: P, Q and Q, P .

Which of the following best expresses the law of demand?

- ▶ A higher price reduces demand.
- ▶ A lower price reduces demand.
- ▶ A higher price reduces quantity demanded.
- ▶ A lower price shifts the demand curve to the right.

Which of the following would most likely shift the production possibilities curve for a nation outward?

- ▶ A reduction in unemployment.
- ▶ An increase in the production of capital goods.
- ▶ A reduction in discrimination.
- ▶ An increase in the production of consumer goods

The primary use of the kinked-demand curve is to explain price rigidity in:

- ▶ Oligopoly.
- ▶ Monopoly.



- ▶ Perfect competition.

- ▶ Monopolistic competition.

A monopolistically competitive firm in short run equilibrium:

- ▶ Will make negative profit (lose money).

- ▶ Will make zero profit (break-even).

- ▶ Will make positive profit.

- ▶ Any of the given are possible.

A market with few entry barriers and with many firms that sell differentiated products is:

- ▶ Purely competitive.

- ▶ A monopoly.

- ▶ Monopolistically competitive.

- ▶ Oligopolistic.

Third-degree price discrimination involves:

- ▶ Charging each consumer the same two part tariff.

- ▶ Charging lower prices the greater the quantity purchased.

- ▶ The use of increasing block rate pricing.

- ▶ Charging different prices to different groups based upon differences in

A firm never operates:

- ▶ At the minimum of its average total cost curve.

- 
- ▶ At the minimum of its average variable cost curve.
 - ▶ On the downward-sloping portion of its average total cost curve.
 - ▶ On the downward-sloping portion of its average variable cost curve.

Demand is said to be ----- when the elasticity of demand is less than 1.

Select correct option:

Increasing

Decreasing

Elastic

Inelastic

An individual with a constant marginal utility of income will be:

Risk averse.

Risk neutral.

Risk loving.

Insufficient information

To hire the next worker the firm pays \$50. Fifty dollars is the:

Marginal input cost

Marginal cost

Marginal revenue product

Marginal revenue



The law of diminishing returns assumes:

Select correct option:

There are no fixed factors of production.

There are no variable factors of production.

Utility is maximized when marginal product falls.

Some factors of production are fixed.

Which of the following concepts apply to oligopoly more than to any other market structure?

Select correct option:

Advertising and product differentiation

Easy entry and more than one firm in the market

Homogeneous product and perfect information

Concentration and interdependence

According to the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause

Select correct option:

Prices to rise and output to rise.

Prices to fall and output to remain unchanged

Prices to fall and output to fall.

Prices to rise and output to remain unchanged



In the long run, profits will equal zero in a competitive market because of:

Select correct option:

The availability of information.

Identical products being produced by all firms.

Constant returns to scale.

Free entry and exit

Which of the following is NOT regarded as a source of inefficiency in monopolistic competition?

Select correct option:

Product diversity.

Excess capacity.

The fact that price exceeds marginal cost.

The fact that long-run average cost is not minimized.

Which of the following is a characteristic of a mixed economy?

Select correct option:

In mixed economy, resources are governed by both government and individuals.

Mixed economy utilizes the characteristics of both market economy and planned economy to allocate goods and services.

People are free to make their decisions and government controls the Defence.

All of the given options are true.



Naima has just finished school and is waiting to report to his new job at the beginning of the month. Naima is considered to be:

Select correct option:

Structurally unemployed.

Frictionally unemployed.

Cyclically unemployed.

Employed.

The shape of production possibilities curve is:

Select correct option:

Concave.

Convex.

Linear.

Positive.

If a firm operates in a perfectly competitive market, then it will most likely:

Select correct option:

Advertise its product on television.

Have difficult time obtaining information about the market price.

Settle for whatever price is offered.

Have an easy time keeping other firms out of the market.



We know that the demand for a product is elastic if:

Select correct option:

When price rises, revenue rises.

When price rises, revenue falls.

When price rises, quantity demanded rises.

When price falls, quantity demanded rises.

AD curve slopes downward for both Keynes and classicals.

Select correct option:

True

False

If marginal product is above the average product:

Select correct option:

The total product will fall

The average product will rise

Average variable costs will fall

Total revenue will fall

GDP measures:

Select correct option:

Expenditure on all final goods and services.



Total income of everyone in the economy.

Total value-added by all firms in the economy.

All of the given options

At the equilibrium price:

Select correct option:

There will be a shortage.

There will be neither a shortage nor a surplus.

There will be a surplus.

There are forces that cause the price to change.

In Keynesian economics, if aggregate expenditures are less than aggregate output then:

Select correct option:

The price level rises.

Inventories decrease.

Employment decreases.

Aggregate output increases.

A normative economic statement:

Select correct option:

Is a statement of fact.

Is a hypothesis used to test economic theory.



Is a statement of what ought to be, not what is.

Is a statement of what will occur if certain assumptions are true.

When government sets the price of a good and that price is above the equilibrium price, the result will be:

Select correct option:

A surplus of the good.

A shortage of the good.

An increase in the demand for the good.

A decrease in the supply of the good.

The short run, as economists use the phrase, is characterised by:

Select correct option:

All inputs being variable.

At least one fixed factor of production and firms neither leaving nor entering the industry.

No variable inputs - that is, all of the factors of production are fixed.

A period where the law of diminishing returns does not hold.

A Natural Monopoly is most likely to exist when:

Select correct option:

There are large barriers to entry.

There are long term patents.

There are large economies of scale.

There is government regulation of the industry.

In which market structure do firms exist in very large numbers, each firm produces an identical product and there is freedom of entry and exit?



Select correct option:

Monopoly

Oligopoly

Perfect competition

Monopolistic competition

A £1 increase in government spending will have a larger impact upon national income than a £1 tax cut because: <http://vustudents.ning.com>

Select correct option:

The government prints the pound it spends.

Not all of a tax cut is spent.

When taxes are cut, so too is government spending.

Taxes are an injection into the system.

The law of diminishing marginal utility indicates that the demand curve is:

Select correct option:

Vertical.

U shaped.

Upward sloping.

Downward sloping

In Keynesian economics, equilibrium can occur:



Select correct option:

Only at full employment.

Only at levels less than full employment.

Only at levels greater than full employment.

At any level of aggregate output equal to aggregate expenditures

The production possibilities curve:

Select correct option:

Shows all combinations of goods that society most desires.

Indicates that any combination of goods lying outside the curve is attainable.

Shows the maximum level of output that an economy can produce with all the available resources.

Shows only those combinations of two goods that reflect "full production"

The principle economic difference between a competitive and a non-competitive market is:

Select correct option:

The number of firms in the market.

The extent to which any firm can influence the price of the product.

The size of the firms in the market.

The annual sales made by the largest firms in the market.

Which of the following statements describes increasing returns to scale:

Select correct option:

Doubling the inputs used leads to double the output.



Increasing the inputs by 50% leads to a 25% increase in output.

Increasing inputs by $\frac{1}{4}$ leads to an increase in output of $\frac{1}{3}$.

None of the given options.

If a firm pays cash to buy a building so as to have office space for its workers, the monthly opportunity cost of the building is best measured as:

Select correct option:

The price the firm paid divided by twelve.

Zero.

The rent the firm could earn if it rented the building to another firm.

The monthly mortgage payment the firm would have had to pay.

A new technology which reduces costs for firms:

Select correct option:

Shifts the supply curve to the right.

Shifts the supply curve to the left.

Reduces the equilibrium quantity.

Raises the equilibrium price.

If consumer incomes increase, the demand for product Y:

Select correct option:

Will necessarily remain unchanged.

Will shift to the right if Y is a complementary good.

Will shift to the right if Y is a normal good.

Will shift to the right if Y is an inferior good

Which of the following is a correct statement about the substitution effect?

Select correct option:

The substitution effect is always negative.

The substitution effect is positive for an inferior good.

The substitution effect measures how demand changes when income changes.

The substitution effect is positive for a Giffen good



Keynes advocated demand-side policies to lift the economy out of that equilibrium towards full employment.

Select correct option:

True

False

The primary result of inflation is:

Select correct option:

A rise in personal wealth.

A rise in wages.

A decline in prices.

A decline in the value of money.

An important difference between the approaches of the classical and Keynesian economists use to achieve a macroeconomic equilibrium is that:

Select correct option:

Keynesian economists actively promote the use of fiscal policy; the classical economists do not.

Keynesian economists actively promote the use of monetary policy to improve aggregate economic performance; classical economists do not

classical economists believe that monetary policy will certainly affect the level of output;

Keynesians believe that money growth affects only prices

classical economists believe that fiscal policy is an effective tool for achieving economic stability; Keynesians do not